

About Value Development Standard (VDS)

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Architecture: VFM® — Value Flow Mechanisms Architecture Category: Governance & Enforcement Subcategory: Value Lifecycle Governance Parent Standard: Value Development Standard (VDS) Governed Space: Value Development

Canonical Definition

Value Development Standard (VDS) governs how existing value increases, strengthens, matures, compounds, expands in capability, or otherwise develops over time after value has already emerged.

VDS establishes a governed distinction between the creation or emergence of value and the subsequent positive development of value that already exists.

The Standard makes it possible to determine whether an observed positive change represents genuine development, what form that development takes, what prior Value State provides its reference basis, and how the development contributes to the subsequent condition of value.

Why VDS Matters

Organizations routinely measure whether prices, revenues, asset values, capabilities, outputs, or other indicators have increased.

But an increase does not necessarily mean that the underlying value has genuinely developed.

A market price can rise through speculation.

Revenue can increase while productive capability deteriorates.

An asset can become more expensive without becoming more useful.

A company can grow in size without becoming operationally stronger.

Conversely, technology, infrastructure, intellectual property, organizational capability, scientific knowledge, or mission capability may develop substantially without producing an immediate monetary increase.

VDS therefore separates:

Value Increase $\neq$ Value Development

Value Emergence $\neq$ Value Development

Value Change $\neq$ Value Development

Market Appreciation $\neq$ Value Development

Monetization $\neq$ Value Development

This enables organizations to govern how value actually develops, rather than assuming that every positive number represents progress.

Governance Flow

Within VFM®, VDS occupies the positive-development stage of the governed value lifecycle:

Value Context → Value Origin → Value Emergence → Value Recognition → Value State → Value Change → Value Development → Value Degradation → Subsequent Value Lifecycle Governance

The immediate VDS flow is:

Existing Governed Value → Development Identification → Growth → Maturation → Compounding → Development Record → Developed Value State

VDS therefore does not ask:

Where did the value originate?

or:

When did the value first emerge?

It asks:

How has value that already exists become stronger, more mature, more capable, more productive, compounded, or otherwise more developed?

What VDS Helps Organizations Govern

VDS provides a structured method for identifying and documenting positive development across the lifecycle of existing value.

Development may occur through:

growth; maturation; increased productive capability; increased utility; capability expansion; strengthening; improved resilience; improved operational performance; accumulated knowledge; technological improvement; network development; infrastructure development; compounding; other contextually legitimate forms of positive development.

The Standard does not require all of these forms to be translated into money.

A value-bearing object may develop materially before that development becomes monetized or reflected in a market price.

Growth ≠ Maturation ≠ Compounding

VDS recognizes that Value Development is not one single mechanism.

Growth concerns an increase in an existing value dimension.

Maturation concerns the strengthening, stabilization, operational advancement, reliability, usability, or development of an existing value-bearing capability.

Compounding concerns development in which previous value development contributes to the basis for subsequent development.

These mechanisms may occur independently or together.

For example:

Existing Capability → Capability Growth → Operational Maturation → Productivity Improvement → Reinvestment or Reuse → Further Development → Compounded Value Development

This allows organizations to reconstruct how value developed, rather than recording only its beginning and final state.

Development Requires a Reference Basis

A statement that value has developed requires something against which development can be understood.

VDS therefore connects development to an identifiable prior condition such as:

Prior Value State → Development Process → Developed Value State

The reference basis may be historical, operational, quantitative, qualitative, capability-based, productivity-based, maturity-based, or another legitimate basis defined by the Value Context.

Without such a reference, statements such as:

“The asset has developed significantly.”

may carry little governable meaning.

Development Can Be Multi-Dimensional

Value does not always develop along one dimension.

A technology may simultaneously become:

more capable

more reliable

more energy-efficient

more interoperable

more operationally mature

while its market price remains unchanged.

Similarly, an enterprise may experience increasing revenue while its infrastructure, intellectual property, operational resilience, or productive capability develops at different rates.

VDS allows those dimensions to remain distinct where collapsing them into a single number would destroy useful information.

Development Is Not Necessarily Permanent

Positive development does not establish permanent preservation of value.

A developed asset may later deteriorate.

A mature technology may become obsolete.

A strong network may weaken.

An accumulated capability may disappear.

A productive system may lose efficiency.

The lifecycle may therefore move:

Value Development → Stable Value State → Value Degradation

or later:

Value Degradation → Recovery → Renewed Value Development

This is why VDS is followed by the Value Degradation Standard (VDGS).

Past Value Development ≠ Permanent Value Preservation. Use Case 1 — Banking: Governing Development of a Value-Bearing Asset

A bank finances an industrial company whose productive facility, technology, intellectual property, customer network, operational capability, and physical assets form part of the economic basis behind its financing relationship.

Traditional monitoring may observe:

financial statements, collateral values, revenue, cash flow, market prices, and credit metrics.

But these indicators may not explain whether the underlying value-bearing capability is actually developing.

Suppose the company invests in automation, improves production efficiency, develops proprietary technology, expands qualified production capacity, reduces unit production costs, improves reliability, and strengthens its customer network.

The organization may now possess materially greater productive capability even before the full economic effect appears in conventional financial reporting.

VDS enables the development pathway to be represented as:

Existing Value State → Technology Development → Production Capability Growth → Operational Maturation → Cost-Efficiency Improvement → Capability Compounding → Developed Value State

This provides a bank with a more structured view of how the underlying value basis is evolving, rather than relying only on periodic monetary snapshots.

Equally important, VDS prevents a temporary increase in market valuation from automatically being classified as genuine Value Development.

The result is a clearer distinction between:

Value that became more expensive

and

Value that became more developed.

Use Case 2 — Space Mission: Developing Mission

Value While Reducing Future Cost

A space organization develops a reusable mission capability.

The first mission establishes that useful operational value exists.

Subsequent missions generate engineering knowledge, reusable software, validated procedures, operational experience, improved hardware, better mission planning, reusable infrastructure, accumulated simulation knowledge, and increasingly mature operational capability.

The value-development pathway may become:

Existing Mission Capability → Operational Learning → Engineering Maturation → Infrastructure Reuse → Process Improvement → Reduced Mission Preparation Cost → Expanded Mission Capability → Accumulated Knowledge Reuse → Compounded Value Development

The value does not develop merely because another mission occurs.

It develops because existing capabilities become reusable, stronger, more mature, more productive, or capable of supporting additional outcomes.

A particularly important effect may be that accumulated development reduces the resources required to produce future mission value.

For example, reusable infrastructure, accumulated engineering knowledge, mature procedures, software reuse, and operational learning may reduce the cost and preparation burden of subsequent missions while increasing mission capability.

VDS makes that development pathway governable without requiring every improvement to be immediately converted into a monetary valuation.

The organization can therefore distinguish:

Mission expenditure

from

development of reusable mission value.

Enterprise Value

VDS enables organizations to move beyond static valuation toward governed developmental understanding of value.

Instead of asking only:

“What is this worth today?”

an organization can also ask:

“How did this value become what it is today?”

“Which parts genuinely developed?”

“Did the value grow, mature, compound, or merely fluctuate?”

“What capability now exists that did not exist before?”

“Did previous development enable further development?”

“Has development reduced the resources required to create future value?”

This makes VDS relevant across banking, investment, industrial production, infrastructure, technology, intellectual property, AI, digital assets, scientific capability, public systems, and mission environments.

VDS therefore creates a governed developmental history between existing value and developed value.

Foundational Principle

Value does not become developed merely because its measured amount increases; Value Development exists when existing value can be shown to have genuinely grown, strengthened, matured, compounded, expanded in capability, or otherwise progressed within its governed Value Context.

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[→ Value Development Standard \(VDS\)](#)

[→ VFM® Complete Standards & Modules Index](#)

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